



depend on outside impulses, such as trade, to provide the initial spark. What they can do is reduce transaction costs and increase the multiplier benefits of whatever demand impulse is created by broader national policies.

Within this framework, one can distinguish the following challenges: urban governance and politics; land-use policies; financing urban infrastructure; improving energy efficiency and addressing urban poverty. A subsidiary set of concerns lies in the area of human capacity, both in building trades, and municipal management. To a surprising degree, these issues are inter-related. Our existing pattern of urban development has been both energy-inefficient and anti-poor, while the pattern of urban public finance and land taxation has made it difficult to finance needed urban infrastructure. In turn, patterns of taxation are

**Choking cities: Urban mismanagement leads to encroachment of public space**

important policies distorting the development of India's urban spaces. As revealed by the continuing saga of sealing and destruction of commercial space in Delhi, the attempt at planned development through metropolitan development authorities (such as the Delhi Development Authority) has signally failed to respond to the fast-changing, mixed-use needs of a dynamic economy and has merely succeeded in raising the price of land, reducing competitiveness and forcing activity into neighbouring states. The same effect has been achieved in Mumbai by restrictions on building heights through a much lower floor-space index than is common elsewhere in the world.

The effect of such restrictions is two fold—commuters are forced further away from the central business district and it encourages the development of slums and squatting on public



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intimately linked with the political governance arrangements for urban areas.

Despite the 74th Amendment in 1993 (creating urban local bodies symmetric with panchayats in rural areas), taxation and spending decisions in urban local bodies are still dominated by the bureaucracy and state politicians rather than local leaders. We have not yet seen in India the phenomenon that is common in the more urbanised environment of the Americas (North and South) and increasingly in China, where local performance is an important stepping stone to higher political office. Presumably, as with rural panchayats, the practice will evolve differently in different states, but cities as large as India's metros will not indefinitely tolerate the lack of representation and transparency in urban governance.

Land-use regulations are among the most

land. Lack of fiscal autonomy and of an active market in land (inhibited in part by high stamp duties) makes bond-financed urban infrastructure infeasible, leading to inefficient fee-based mechanisms for financing urban infrastructure projects.

Nobel laureate Sir Arthur Lewis once observed that what is expensive in economic development is not industrialisation but urbanisation. Enormous investments are going to be made in urban infrastructure over the next 30 years. It is imperative to introduce urban reforms now, so that the infrastructure that is laid down reflects a competitive, sustainable spatial pattern rather than the ugly sprawl that is so often seen today.

## Mass Migration

**ACCORDING TO A CONSERVATIVE ESTIMATE, INDIA WILL BE 45 PER CENT URBANISED BY 2050. BUT IT WILL STILL BE LESS URBAN THAN JAPAN IN 1950.**

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